

Denominator Blindness: Monthly Nonfarm Payroll Reports Edition

EVERY MONTH, WE see what some people believe is the most important data point of our lives: The Employment Situation, or more informally, nonfarm payrolls (NFP).

On a good month, NFP is up a few hundred thousand—about +250,000 or so. Bad months are under +100k to flat. *Really bad* months are down -100,000 to 300,000 or so.

But that monthly NFP number is the numerator; the denominator is the number of people employed full-time in the United States.¹⁶⁶

That is about 160 million people. This might make you ask yourself, “Why place so much emphasis on a number that is so small?” The monthly NFP is a little more than one- or two-tenths of 1% of the labor force.

It gets worse: Consider that each month, about 3.6 million people quit their jobs in the US. Some are job switchers, leaving for another firm; some leave to launch their own company. Some retire, some take time off for a sabbatical, or go on parental leave. And some folks, to quote Monty Python, “join the choir invisible.”¹⁶⁷

Then there is the flip side: Each month, about 3.6 million start a new job; they begin working after graduating school, or return to the labor force after an absence, or leave one job for a new one.

The monthly employment report is the difference between those two groups of leavers and starters. Not quite 4 million people in motion out of 160 million people.

Said differently, NFP is the net difference between 4 millionish job enders and 4 millionish job starters. That’s it! And that is before we get to how noisy this data series is, subject to subsequent revisions and updates.